work for a chemical manufacturer, soaring oil prices could be bad news.)

- If you are self-employed, how long do businesses similar to yours tend to survive?
- Do you need your investments to supplement your cash income? (In general, bonds will; stocks won't.)
- Given your salary and your spending needs, how much money can you afford to lose on your investments?

If, after considering these factors, you feel you can take the higher risks inherent in greater ownership of stocks, you belong around Graham's minimum of 25% in bonds or cash. If not, then steer mostly clear of stocks, edging toward Graham's maximum of 75% in bonds or cash. (To find out whether you can go up to 100%, see the sidebar on p. 105.)

Once you set these target percentages, change them only as your life circumstances change. Do not buy more stocks because the stock market has gone up; do not sell them because it has gone down. The very heart of Graham's approach is to replace guesswork with discipline. Fortunately, through your 401(k), it's easy to put your portfolio on permanent autopilot. Let's say you are comfortable with a fairly high level of risk—say, 70% of your assets in stocks and 30% in bonds. If the stock market rises 25% (but bonds stay steady), you will now have just under 75% in stocks and only 25% in bonds.[5] Visit your 401(k)'s website (or call its toll-free number) and sell enough of your stock funds to "rebalance" back to your 70–30 target. The key is to rebalance on a predictable, patient schedule—not so often that you will drive yourself crazy, and not so seldom that your targets will get out of whack. I suggest that you rebalance every six months, no more and no less, on easy-to-remember dates like New Year's and the Fourth of July.